

Company : Airports of Thailand PCL (AOT.BK)

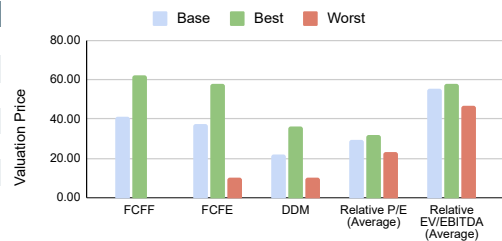


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Overview Airports of Thailand (AOT) AOT is the definitive proxy for Thailand's tourism-driven economy. I selected this stock to analyze a critical valuation tension: the company is benefiting from strong post-COVID tailwinds, recent fee hikes (PSC), and aggressive terminal expansions, yet it faces persistent risks from domestic and geopolitical political instability. This model investigates whether the current "Monopoly Premium" is justified against such a fragile macroeconomic backdrop.

Scenario	Driver
Base Case	"Capacity Squeeze & Capex Delay." Growth is capped by physical slots until 2029; massive CAPEX (South Terminal) is pushed back, protecting near-term cash flow.
Best Case	"High Yield & Bottleneck Fixes." AOT shelve the expensive mega-projects (South Terminal) and focuses only on high-return expansions (East/DMK), maximizing shareholder value.
Worst Case	"Forced Spending & Saturation." The government mandates immediate spending on all projects (including new provincial airports) while demand slows, turning FCFF negative for 5+ years.

Valuation Method	Base	Best	Worst
FCFF	41.50	62.50	na
FCFE	37.44	57.76	10.14
DDM	21.97	36.12	10.36
Relative P/E (Average)	29.62	31.66	23.06
Relative EV/EBITDA (Average)	55.20	57.73	46.82
Current Price	54.25THB		

Recommendation **SELL**

Target Price 41.50THB

Downside Risk -23.50%

Headline

"Optimism Trap" — Why Heavy Assets and Tourist Ceilings Crush the Growth Narrative.

Executive Summary

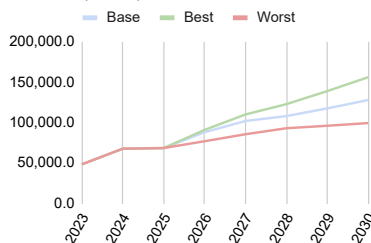
Our model forecasts a seemingly bullish with revenue jump in 2026. This surge is primarily driven by the Passenger Service Charge (PSC) price hike, not a massive influx of new tourists. AOT is effectively squeezing more yield out of existing capacity because physical slots are nearing saturation.

Market sentiment around AOT remains highly optimistic, driven by a strong belief in the tourism recovery and the company's investment roadmap. On the surface, AOT appears to be an efficient profit-generating machine, with EV/EBITDA multiples trading on par with global peers. However, the company's massive asset base and heavy Depreciation & Amortization (D&A) expenses create a significant drag on bottom-line profit.

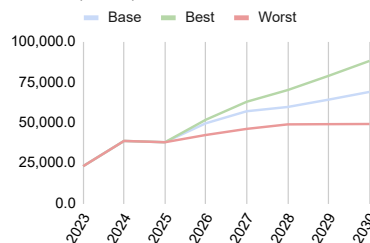
With terminal is about to hit their "Max Cap," the assumption that tourism numbers will double is physically impossible without major new infrastructure. Furthermore, simply beating pre-COVID records is increasingly difficult given the tightening global economic backdrop. The current valuation assumes a growth trajectory that the existing facilities simply cannot support.

This trade ignores a minefield of risks, from AOT's potentially aggressive spending decisions to China's economic slowdown and regional tensions. When you weigh these fragile macros against a valuation, the optimism simply isn't backed by math. The prudent move is to SELL.

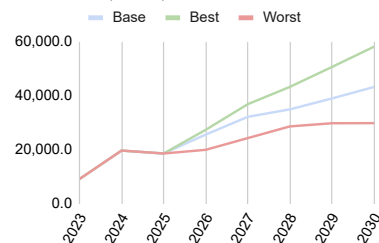
Revenue (mTHB)



EBITDA (mTHB)



Net Income (mTHB)



Summary Financial Forecast		Actual		Project						
		2023	2024	2025	2026	2027	2028	2029	2030	
Revenue (mTHB)	Base Case	48,445.5	67,827.8	68,586.4	88,240.7	102,162.9	108,173.0	117,749.3	128,082.5	
Growth %			40.01%	1.12%	28.66%	15.78%	5.88%	8.85%	8.78%	
EBITDA (mTHB)		23,067.6	38,706.7	37,901.5	49,654.6	57,112.8	59,739.4	64,286.9	69,078.8	
Net Income (mTHB)		9,071.6	19,642.4	18,554.0	25,592.3	32,177.0	34,950.9	39,014.5	43,275.4	
Revenue (mTHB)	Best Case	48,445.5	67,827.8	68,586.4	91,077.9	110,218.8	123,019.6	139,173.7	156,408.8	
Growth %			40.01%	1.12%	32.79%	21.02%	11.61%	13.13%	12.38%	
EBITDA (mTHB)		23,067.6	38,706.7	37,901.5	51,852.7	62,990.3	70,217.0	79,030.5	88,261.7	
Net Income (mTHB)		9,071.6	19,642.4	18,554.0	27,353.2	36,881.4	43,308.7	50,706.7	58,252.4	
Revenue (mTHB)	Worst Case	48,445.5	67,827.8	68,586.4	77,059.0	85,714.2	93,141.2	96,219.9	99,532.3	
Growth %			40.01%	1.12%	12.35%	11.23%	8.66%	3.31%	3.44%	
EBITDA (mTHB)		23,067.6	38,706.7	37,901.5	42,404.3	46,176.7	48,960.5	49,094.5	49,200.3	
Net Income (mTHB)		9,071.6	19,642.4	18,554.0	19,923.8	24,279.9	28,619.5	29,803.7	29,840.3	

Valuation - Discount Model

WACC Calculation	(unit)	Value
Capital Structure		
Current Share Price	(THB)	54.3
Total Share Outstanding	(mShares)	14,285.7
Market Capitalization	(mTHB)	774,999.2
Interest Bearing Debt & Lease	(mTHB)	50,254.6
Total Capitalization	(mTHB)	825,253.8
Equity Weight		93.91%
Debt Weight		6.09%
Cost of Equity		
Risk-Free Rate		2.60%
Beta		1.10
Market Risk Premium		6.90%
Cost of Equity		10.2%
Cost of Debt		
Pre-Tax Cost of Debt		5.01%
Tax Rate		20.00%
After-Tax Cost of Debt		4.00%
WACC		10.0%

We derived our discount rate using the Capital Asset Pricing Model (CAPM), anchoring the Risk-Free Rate to the 10-Year Thai Government Bond yield to match our long-term horizon, while applying a 5-year adjusted Beta and Market Risk Premium to accurately capture the stock's volatility relative to the broad market.

To contextualize these intrinsic results, our relative valuation framework triangulates AOT against the SET50 Index for local opportunity cost and targets Aena (Spain) and ASUR (Mexico) as direct "Structural Twins."

This analysis is further bracketed by three distinct industry groups:

"Asian Peers" (aggregating regional competitors like Shanghai and Malaysia Airports to benchmark against high-growth rivals fighting for the same Chinese tourist flows),

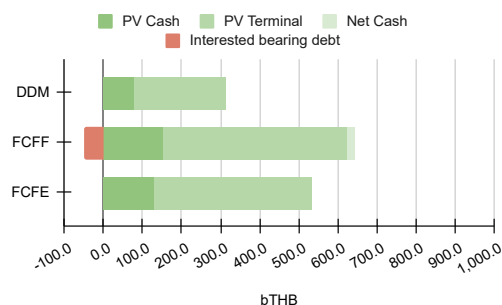
"Global Majors" (comprising mature European hubs like ADP and Fraport to establish a stable, low-growth utility floor), and

"M&A Deals" (referencing the Sydney Airport privatization to quantify the theoretical "Control Premium" ceiling that Private Equity would pay for a monopoly asset).

Discount Valuation	(unit)	2026	2027	2028	2029	2030
Forecast Dividend	(mTHB)	15,355.4	19,306.2	20,970.5	23,408.7	25,965.2
EBIT	(mTHB)	34,638.4	42,673.3	45,963.2	50,850.8	55,975.9
(-) Tax on EBIT	(mTHB)	-6,927.7	-8,534.7	-9,192.6	-10,170.2	-11,195.2
(+) Depreciation	(mTHB)	15,016.2	14,439.5	13,776.2	13,436.2	13,102.8
(-) Capex	(mTHB)	-5,600.0	-17,300.0	-19,900.0	-10,200.0	-10,000.0
(-) Change in WC	(mTHB)	2,749.9	3,142.7	1,202.3	2,010.1	2,139.0
FCFF	(mTHB)	39,876.8	34,420.8	31,849.0	45,926.8	50,022.5
(-) After-Tax Interest	(mTHB)	-2,116.1	-1,959.2	-1,817.3	-1,666.1	-1,505.4
(+) Net Borrowing	(mTHB)	-4,046.6	-3,347.0	-3,567.0	-3,790.0	-3,979.5
FCFE	(mTHB)	33,714.1	29,114.6	26,464.7	40,470.8	44,537.7

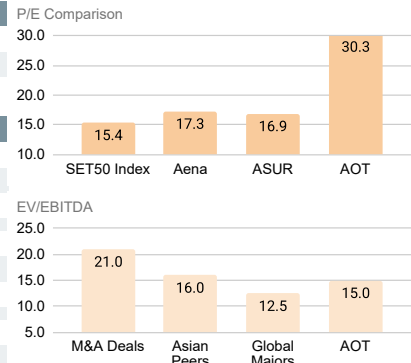
Year Fraction	0.8	1.8	2.8	3.8	4.8
DDM/ FCFE Discount Factor	0.93	0.84	0.77	0.69	0.63
FCFF Discount Factor	0.93	0.85	0.77	0.70	0.64

Valuation Method	(unit)	DDM	FCFF	FCFE
PV of Cash flow	(mTHB)	79,272.3	154,737.8	132,397.6
Terminal growth rate		3.00%	3.00%	3.00%
Terminal value	(mTHB)	371,963.6	737,135.5	638,022.1
PV of terminal value	(mTHB)	234,598.4	468,949.5	402,402.2
PV of total cashflow and terminal	(mTHB)	313,870.7	623,687.3	534,799.9
(+) Net Cash (2025 Actual)	(mTHB)	0.0	19,465.5	0.0
(-) Loan&Lease Liabilities	(mTHB)	0.0	-50,254.6	0.0
Share holder value	(mTHB)	313,870.7	592,898.2	534,799.9
Shares Outstanding	(mShares)	14,286	14,286	14,286
Target price	(THB)	21.97	41.50	37.44



Valuation - Relative Value model

P/E Ratio	(unit)	SET50 Index	Aena	ASUR	AOT
P/E		15.4	17.3	16.9	30.28
2026 Earning per Share	THB/Share	1.8	1.8	1.8	
Implied Share Price	(THB)	27.6	31.0	30.3	
Relative EV/EBITDA		M&A Deals	Asian Peers	Global Majors	AOT
EV/EBITDA		21.0	16.0	12.5	14.99
2026 EBITDA	(mTHB)	49,655	49,655	49,655	
Implied Enterprise Value	(mTHB)	1,042,746	794,473	620,682	
(+) Cash & Equivalents	(mTHB)	19,466	19,466	19,466	
(-) Total Debt & Leases	(mTHB)	-50,255	-50,255	-50,255	
Implied Equity Value	(mTHB)	1,011,957	763,684	589,893	
Shares Outstanding	(mShares)	14,286	14,286	14,286	
Implied Share Price	(THB)	70.8	53.5	41.3	



Running Model Base Case

Revenue Schedule

	(unit)	Actual	Actual	Actual	Project	Project	Project	Project	Project
		2023	2024	2025	2026	2027	2028	2029	2030
Price									
Landing and parking price	(mTHB/ 1,000 flights)			7.5	7.5	7.5	7.5	7.7	8.0
Int'l PSC Price	(mTHB/ millionPAX)				925.0	1,120.0	1,120.0	1,120.0	1,120.0
Domestic PSC Price	(mTHB/ millionPAX)				130.0	130.0	130.0	130.0	130.0
Aircraft service charges price	(mTHB/ 1,000 flights)			1.1	1.1	1.1	1.1	1.1	1.1
Office and state property rents price	(mTHB/ unit)			25.8	26.3	26.9	28.2	28.8	29.3
Service price	(mTHB/ millionPAX)			77.0	78.5	80.1	81.7	84.1	86.7
Concession sharing spending/ head	(mTHB/ millionPAX)			278.6	280.0	287.0	294.2	301.5	309.1
Volume									
Flight	(1,000 flights)			788.1	859.0	895.0	930.0	985.0	1,030.0
International Traffic	(millionPAX)			76.6	83.5	88.0	92.5	100.0	108.0
Domestic Traffic	(millionPAX)			49.4	52.8	55.0	57.5	61.0	63.5
Office and state property rents	(unit)			100.0	105.0	106.1	107.1	108.2	119.0
Revenue									
1 Landing and parking charges	(mTHB)			5,906.6	6,438.1	6,707.9	6,970.2	7,603.9	8,189.8
2 Departure passenger service charges	(mTHB)			26,310.5	42,050.8	52,855.0	55,537.5	59,965.0	64,607.5
3 Aircraft service charges	(mTHB)			830.2	904.9	942.8	979.6	1,068.7	1,151.1
4 Office and state property rents	(mTHB)			2,582.0	2,765.3	2,848.9	3,021.2	3,112.5	3,492.2
5 Service revenues	(mTHB)			9,698.3	10,701.7	11,452.3	12,253.2	13,546.3	14,862.7
6 Concession revenues	(mTHB)			21,351.8	23,380.0	25,256.0	27,211.2	30,152.9	33,379.3
Total revenues from sales or services	(mTHB)			66,679.4	86,240.7	100,062.9	105,973.0	115,449.3	125,682.5
Other Income	(mTHB)			1,907.0	2,000.0	2,100.0	2,200.0	2,300.0	2,400.0
Total Revenue	(mTHB)			68,586.4	88,240.7	102,162.9	108,173.0	117,749.3	128,082.5

Running Model Base Case

Cost Schedule

	(unit)	Actual	Actual	Actual	Project	Project	Project	Project	Project
		2023	2024	2025	2026	2027	2028	2029	2030
Total revenues from sales or services	(mTHB)			66,679.4	86,240.7	100,062.9	105,973.0	115,449.3	125,682.5
Sale & service increase	%				29.3%	16.0%	5.9%	8.9%	8.9%
Cost Inflation	%				2.0%	2.0%	2.0%	2.0%	2.0%
Variable Expense									
Employee benefit expenses cost	(mTHB)			13,584.1	17,920.6	21,208.6	22,910.5	25,458.4	28,269.3
Utilities expenses	(mTHB)			3,252.0	4,290.2	5,077.3	5,484.7	6,094.7	6,767.6
Outsourcing expenses	(mTHB)			5,333.9	7,036.7	8,327.8	8,996.1	9,996.5	11,100.2
Repairs and maintenance expense	(mTHB)			4,223.2	5,571.3	6,593.5	7,122.6	7,914.7	8,788.6
Other Expense									
Depreciation and amortisation expenses	(mTHB)			12,042.4	11,855.8	11,279.1	10,615.8	10,275.8	9,942.4
Loss on foreign exchange rate	(mTHB)			242.9	0.0	0.0	0.0	0.0	0.0
Loss on impairment of assets	(mTHB)			355.3	0.0	0.0	0.0	0.0	0.0
Loss on derivatives	(mTHB)			0.0	0.0	0.0	0.0	0.0	0.0
Other expenses	(mTHB)			3,693.6	3,767.4	3,842.8	3,919.6	3,998.0	4,078.0
Total Cost	(mTHB)			42,727.3	50,441.9	56,329.1	59,049.3	63,738.2	68,946.2

Income Statement

		Actual			Project				
	(unit)	2023	2024	2025	2026	2027	2028	2029	2030
Revenue									
Total revenues from sales or services	(mTHB)	48,140.9	67,121.3	66,679.4	86,240.7	100,062.9	105,973.0	115,449.3	125,682.5
Other Income	(mTHB)	304.6	706.49	1,907.0	2,000.0	2,100.0	2,200.0	2,300.0	2,400.0
Total revenues	(mTHB)	48,445.5	67,827.8	68,586.4	88,240.7	102,162.9	108,173.0	117,749.3	128,082.5
Cost									
Employee benefit expenses cost	(mTHB)	11,639.4	13,296.2	13,584.1	17,920.6	21,208.6	22,910.5	25,458.4	28,269.3
Utilities expenses	(mTHB)	3,601.4	3,345.5	3,252.01	4,290.2	5,077.3	5,484.7	6,094.7	6,767.6
Outsourcing expenses	(mTHB)	4,251.0	5,224.9	5,333.9	7,036.7	8,327.8	8,996.1	9,996.5	11,100.2
Repairs and maintenance expense	(mTHB)	2,549.0	3,478.2	4,223.2	5,571.3	6,593.5	7,122.6	7,914.7	8,788.6
Loss on foreign exchange rate	(mTHB)	7.2	119.1	242.9	0.0	0.0	0.0	0.0	0.0
Loss on impairment of assets	(mTHB)	448.3	307.7	355.3	0.0	0.0	0.0	0.0	0.0
Loss on derivatives	(mTHB)	11.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other expenses	(mTHB)	2,870.5	3,349.5	3,693.6	3,767.4	3,842.8	3,919.6	3,998.0	4,078.0
Total Costs	(mTHB)	25,377.9	29,121.1	30,684.9	38,586.2	45,050.0	48,433.6	53,462.4	59,003.8
EBITDA	(mTHB)	23,067.6	38,706.7	37,901.5	49,654.6	57,112.8	59,739.4	64,286.9	69,078.8
Depreciation expenses	(mTHB)	8,870.3	11,403.8	12,042.4	11,855.8	11,279.1	10,615.8	10,275.8	9,942.4
Depreciation (ROU)		0.0	0.0	0.0	3,160.4	3,160.4	3,160.4	3,160.4	3,160.4
EBIT	(mTHB)	14,197.3	27,302.9	25,859.1	34,638.4	42,673.3	45,963.2	50,850.8	55,975.9
Share of loss from investment in joint ventures	(mTHB)	-0.2	-0.6	-2.6	-3.0	-3.0	-3.0	0.0	0.0
Finance costs	(mTHB)	-2,890.5	-2,756.8	-2,515.4	-2,645.1	-2,449.0	-2,271.6	-2,082.6	-1,881.7
EBT	(mTHB)	11,306.7	24,545.5	23,341.1	31,990.3	40,221.3	43,688.6	48,768.2	54,094.2
Income tax Rate		19.8%	20.0%	20.5%	20.0%	20.0%	20.0%	20.0%	20.0%
Income tax expenses	(mTHB)	-2,235.0	-4,903.1	-4,787.1	-6,398.1	-8,044.3	-8,737.7	-9,753.6	-10,818.8
NET INCOME	(mTHB)	9,071.6	19,642.4	18,554.0	25,592.3	32,177.0	34,950.9	39,014.5	43,275.4

Cash flow Statement

		Actual			Project				
	(unit)	2023	2024	2025	2026	2027	2028	2029	2030
Operating Activities									
Net Income	(mTHB)	9,071.6	19,642.4	18,554.0	25,592.3	32,177.0	34,950.9	39,014.5	43,275.4
Depreciation	(mTHB)	8,870.3	11,403.8	12,042.4	11,855.8	11,279.1	10,615.8	10,275.8	9,942.4
Depreciation (ROU)	(mTHB)	0.0	0.0	0.0	3,160.4	3,160.4	3,160.4	3,160.4	3,160.4
Non-Cash Adjustments	(mTHB)	5,756.7	7,298.3	3,870.2	0.0	0.0	0.0	0.0	0.0
**Assumption: Interest Expense is treated as an Operating Cash Outflow (embedded in Net Income) rather than added back and re-classified as Financing. This simplifies the model without affecting the Ending Cash Balance.									
Change in Accounts Receivable	(mTHB)	-8,873.00	269.2	-5,611.5	-5,105.5	-3,432.8	-1,481.9	-2,361.3	-2,547.9
Change in Other Assets	(mTHB)	44.5	-87.6	-750.8	-7,322.8	-5,568.8	-2,404.0	-3,830.5	-4,133.3
Change in Accounts Payable	(mTHB)	370.4	289.9	1,274.2	1,971.5	1,682.4	880.6	1,308.9	1,442.3
Change in Other Liabilities	(mTHB)	1,632.20	2,240.3	-40.0	7,707.0	4,176.6	1,803.0	2,872.9	3,100.0
Operating Cash Flow	(mTHB)	16,872.7	41,056.3	29,338.5	37,858.5	43,473.8	47,524.7	50,440.6	54,239.2
Investing Activities									
CAPEX	(mTHB)	-11,603.1	-13,092.5	-9,478.2	-5,600.0	-17,300.0	-19,900.0	-10,200.0	-10,000.0
Other	(mTHB)	43.9	-35.0	0.0	0.0	0.0	0.0	0.0	0.0
Investing Cash Flow	(mTHB)	-11,559.2	-13,127.5	-9,478.2	-5,600.0	-17,300.0	-19,900.0	-10,200.0	-10,000.0
Financing Activities									
Payment of Lease Liabilities	(mTHB)	-918.4	-3,024.1	-3,347.0	-3,024.0	-3,347.0	-3,567.0	-3,790.0	-3,979.5
Repayment of Debt	(mTHB)	-12.7	-4,330.8	-903.6	-1,022.6	0.0	0.0	0.0	0.0
Interest Paid & Derivatives		-2,325.80	-3,028.0	-2,900.0	0.0	0.0	0.0	0.0	0.0
**Forecast assumes Interest Expense is treated as an Operating Cash Outflow (embedded in Net Income) and is not reclassified to Financing, eliminating the need for a separate deduction line.									
Dividends Paid	(mTHB)	-18.2	-5,151.3	-11,785.4	-15,355.4	-19,306.2	-20,970.5	-23,408.7	-25,965.2
Cash received from issuing shares of subsidiaries	(mTHB)	255	1.2	0.0	0.0	0.0	0.0	0.0	0.0
Financing Cash Flow	(mTHB)	-3,020.1	-15,533.0	-18,936.0	-19,402.0	-22,653.2	-24,537.5	-27,198.7	-29,944.7
Beginning Cash	(mTHB)		6,095.4	18,541.2	19,465.5	32,322.1	35,842.7	38,929.9	51,971.8
Change in the Cash Position	(mTHB)		12,395.8	924.3	12,856.6	3,520.6	3,087.2	13,041.9	14,294.5
Ending Cash	(mTHB)	6,095.4	18,541.2	19,465.5	32,322.1	35,842.7	38,929.9	51,971.8	66,266.3

Balance Sheet

	(unit)	Actual			Project				
		2023	2024	2025	2026	2027	2028	2029	2030
Asset									
Cash & Equivalents	(mTHB)	6,095.4	18,541.2	19,465.5	32,322.1	35,842.7	38,929.9	51,971.8	66,266.3
Accounts Receivable	(mTHB)	12,203.0	10,839.8	16,652.5	21,758.0	25,190.8	26,672.8	29,034.1	31,582.0
Net PP&E	(mTHB)	122,876.0	126,123.3	124,281.1	118,025.4	124,046.3	133,330.5	133,254.8	133,312.4
Right-of-Use Assets	(mTHB)	28,058.9	24,898.5	21,559.6	18,399.2	15,238.8	12,078.4	8,918.0	5,757.6
Other Assets	(mTHB)	26,377.8	25,747.0	27,973.5	35,296.3	40,865.1	43,269.2	47,099.7	51,233.0
Total assets	(mTHB)	195,611.1	206,149.8	209,932.2	225,801.0	241,183.8	254,280.8	270,278.4	288,151.3
Liability									
Accounts Payable	(mTHB)	9,108.0	7,174.6	8,071.5	10,043.0	11,725.4	12,606.0	13,914.9	15,357.1
Loan Debt	(mTHB)	5,858.8	1,650.4	1,022.6	0.0	0.0	0.0	0.0	0.0
Lease Liabilities	(mTHB)	55,616.4	52,578.9	49,232.0	46,208.0	42,861.0	39,294.0	35,504.0	31,524.5
Other Liabilities	(mTHB)	12,849.7	18,347.0	18,765.2	26,472.2	30,648.9	32,451.9	35,324.8	38,424.8
Total liabilities	(mTHB)	83,432.9	79,750.9	77,091.3	82,723.2	85,235.2	84,351.9	84,743.7	85,306.4
Equity									
Share Capital	(mTHB)	26,853.4	26,853.4	26,853.4	26,853.4	26,853.4	26,853.4	26,853.4	26,853.4
Retained Earnings	(mTHB)	82,840.9	96,881.5	103,722.0	113,958.9	126,829.7	140,810.1	156,415.9	173,726.0
Other Equity	(mTHB)	2,484.0	2,664.1	2,265.5	2,265.5	2,265.5	2,265.5	2,265.5	2,265.5
Total shareholders' equity	(mTHB)	112,178.3	126,399.0	132,840.9	143,077.8	155,948.6	169,929.0	185,534.8	202,844.9
Total liabilities and shareholders' equity	(mTHB)	195,611.2	206,149.9	209,932.2	225,801.0	241,183.8	254,280.9	270,278.5	288,151.3
Check		0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0

Depreciation Schedule

CAPEX

Depreciation of new asset (Assumption)	30 Years
Depreciation of existing asset	12,042.4 mT

CAPEX	Amount (mTHB)
2026	-5,600.0
2027	-17,300.0
2028	-19,900.0
2029	-10,200.0
2030	-10,000.0

Existing

	Project				
	2026	2027	2028	2029	2030
Existing	12,042.4	12,042.4	12,042.4	12,042.4	12,042.4
	-186.7	-186.7	-186.7	-186.7	-186.7
		-576.7	-576.7	-576.7	-576.7
			-663.3	-663.3	-663.3
				-340.0	-340.0
					-333.3
Total	11,855.8	11,279.1	10,615.8	10,275.8	9,942.4

Total Depreciation (mTHB)

ROU Asset

	(unit)	Actual			Project				
		2023	2024	2025	2026	2027	2028	2029	2030
Beginning ROU Asset	(mTHB)			24,898.5	21,559.6	18,399.2	15,238.8	12,078.4	8,918.0
(+) New Leases Added	(mTHB)				0.0	0.0	0.0	0.0	0.0
(-) Depreciation Expense	(mTHB)			-3,338.9	-3,160.4	-3,160.4	-3,160.4	-3,160.4	-3,160.4
Ending ROU Asset	(mTHB)		24,898.5	21,559.6	18,399.2	15,238.8	12,078.4	8,918.0	5,757.6

Working Capital Schedule

	(unit)	Actual			Project				
		2023	2024	2025	2026	2027	2028	2029	2030
Total revenues	(mTHB)			68,586.4	88,240.7	102,162.9	108,173.0	117,749.3	128,082.5
Total Costs	(mTHB)			30,684.9	38,586.2	45,050.0	48,433.6	53,462.4	59,003.8
Days in Accounts Receivable	Days			89	90	90	90	90	90
% Other Assets	%			40.79%	40.0%	40.0%	40.0%	40.0%	40.0%
Days in Accounts Payable	Days			96	95	95	95	95	95
% Other Liabilities	%			27.36%	30.0%	30.0%	30.0%	30.0%	30.0%
Account Balances in Operating Assets									
Accounts Receivable	(mTHB)			16,652.5	21,758.0	25,190.8	26,672.8	29,034.1	31,582.0
Other Assets	(mTHB)			27,973.5	35,296.3	40,865.1	43,269.2	47,099.7	51,233.0
Account Balances in Operating Liabilities									
Accounts Payable	(mTHB)			8,071.5	10,043.0	11,725.4	12,606.0	13,914.9	15,357.1
Other Liabilities	(mTHB)			18,765.2	26,472.2	30,648.9	32,451.9	35,324.8	38,424.8
Change in Accounts Receivable	(mTHB)				5,105.5	3,432.8	1,481.9	2,361.3	2,547.9
Change in Other Assets	(mTHB)				7,322.8	5,568.8	2,404.0	3,830.5	4,133.3
Change in Accounts Payable	(mTHB)				1,971.5	1,682.4	880.6	1,308.9	1,442.3
Change in Other Liabilities	(mTHB)				7,707.0	4,176.6	1,803.0	2,872.9	3,100.0

Debt and Interest Schedule

		Actual				Project			
	(unit)	2023	2024	2025	2026	2027	2028	2029	2030
Lease Liabilities									
Beg. Lease Liability	(mTHB)				49,232.0	46,208.0	42,861.0	39,294.0	35,504.0
(-) Repayment	(mTHB)				-3,024.0	-3,347.0	-3,567.0	-3,790.0	-3,979.5
(+) New Leases	(mTHB)				0.0	0.0	0.0	0.0	0.0
Ending lease liabilities	(mTHB)			49,232.0	46,208.0	42,861.0	39,294.0	35,504.0	31,524.5
Implied Interest %	%				5.30%	5.30%	5.30%	5.30%	5.30%
Interest Expense	(mTHB)				-2,609.3	-2,449.0	-2,271.6	-2,082.6	-1,881.7
Bank Borrowing									
Cash Available (Beg.Cash + CFO + CF1 + CFF)	(mTHB)				33,344.7	35,842.7	38,929.9	51,971.8	66,266.3
Beginning Loan Debt	(mTHB)				1,022.6	0.0	0.0	0.0	0.0
(-) Repayment	(mTHB)				-1,022.6	0.0	0.0	0.0	0.0
(+) New Leases	(mTHB)				0	0	0	0	0
Ending Loan Debt	(mTHB)			1,022.6	0.0	0.0	0.0	0.0	0.0
Blended loan Interest Rate	%				3.50%	3.50%	3.50%	3.50%	3.50%
Interest Expense	(mTHB)				-35.8	0.0	0.0	0.0	0.0
TOTAL FINANCE COSTS	(mTHB)				-2,645.1	-2,449.0	-2,271.6	-2,082.6	-1,881.7

All Input & Assumption

All Input & Assumption						
	Project					Remark
	2026	2027	2028	2029	2030	
Price Forecast						
Landing and parking price growth						
Base Case	0.0%	0.0%	0.0%	3.0%	3.0%	Stimulus Lock: Prices frozen to support the "Phase 2" incentive scheme (ends Oct 2028). Post-2028, AOT catches up with inflation.
Best Case	0.0%	2.0%	2.0%	5.0%	5.0%	Early Adjustment: Traffic recovers faster than expected, allowing AOT to hike standard fees for non-incentivized (legacy) flights earlier.
Worst Case	0.0%	0.0%	0.0%	0.0%	0.0%	Regulator Freeze: Dept. of Airports/CAAT blocks fee hikes to maintain Thailand's tourism competitiveness against Vietnam/Japan.
Int'l PSC Price						
Base Case	925.0	1120.0	1120.0	1120.0	1120.0	Confirmed Hike: The Civil Aviation Board approved the 1,120 THB rate (up from 730) effective "Early 2026" (likely April). No further hikes expected for 5 years. 2026 price was average.
Best Case	925.0	1120.0	1120.0	1150.0	1200.0	Inflation Adjust: AOT implements a new "5-Year Review Mechanism" mentioned in proposals, allowing a small inflation-linked adjustment (+3-5%) in 2029/30.
Worst Case	850.0	1000.0	1120.0	1120.0	1120.0	Political Delay: Public backlash or tourism fears force the Transport Ministry to phase in the hike gradually (e.g., 850 in '26, 1,000 in '27) instead of the immediate jump to 1,120.
Domestic PSC Price						
Base Case	130.0	130.0	130.0	130.0	130.0	Regulator Freeze: The Transport Ministry explicitly stated Domestic PSC will remain unchanged to protect local tourism and keeping travel affordable for Thais.
Best Case	130.0	130.0	180.0	180.0	200.0	Partial Win: AOT had originally requested ~330 THB. In this case, they successfully negotiate a smaller hike (+50 THB) in 2028 to cover CUPPS/IT costs.
Worst Case	130.0	130.0	130.0	130.0	130.0	Frozen: Price stays flat indefinitely. Inflation eats into real revenue, effectively reducing the margin on domestic passengers every year.
Aircraft service charges price growth						
Base Case	0.0%	0.0%	0.0%	3.0%	3.0%	Stimulus Freeze: Prices stay flat to support airlines until the incentive scheme ends (Oct 2028), then rise with inflation.
Best Case	2.0%	2.0%	2.0%	3.0%	3.0%	Mix Improvement: Even with flat rates, the return of large Wide-Body jets (China/Long-haul) raises the effective average price per flight.
Worst Case	0.0%	0.0%	0.0%	0.0%	0.0%	Stagnation: Traffic remains dominated by smaller narrow-body planes (Short-haul), keeping the average fee per flight stuck at 2025 levels.

Office/ state property rents Price growth					
Base Case	2.0%	2.0%	5.0%	2.0%	2.0% Inflationary: Standard CPI adjustment. The +5% in 2028 reflects a "Contract Renewal Cycle" step-up.
Best Case	5.0%	3.0%	5.0%	3.0%	5.0% High Demand: "Aviation Hub" status creates a shortage of airport office space, allowing AOT to push rates higher.
Worst Case	0.0%	0.0%	0.0%	0.0%	0.0% Glut: Bangkok office vacancy is high (30% by 2030). Airlines consolidate staff, forcing AOT to freeze rents to keep tenants.
Service Revenue Price Growth					
Base Case	2.0%	2.0%	2.0%	3.0%	3.0% Inflation Track: These fees (Utilities, Check-in IT) rise directly with inflation/CPI. The volume (Pax) handles the rest.
Best Case	4.0%	4.0%	4.0%	5.0%	5.0% Tech Premium: AOT introduces Biometric fees (Face ID) or higher utility rates for 24-hour operations.
Worst Case	0.0%	0.0%	0.0%	0.0%	0.0% Efficiency: Airlines demand cost cuts; no fee increases allowed.
Concession Revenue per International Pax					
Base Case	280.0	287.0	294.2	301.5	309.1 Revenue Sharing: Tourist spending is high. AOT earns 20% of Gross Sales with 2.5% growth every year
Best Case	280.0	294.0	308.7	324.1	340.3 Revenue Sharing: Tourist spending is high. AOT earns 20% of Gross Sales with 5% growth every year
Worst Case	233.0	244.7	256.9	269.7	283.2 Contract Floor: Follows the strict King Power contract: Start at 233 THB and grow by +5% fixed annually.
Volume Forecast					
Flight Volume					
Base Case	859.0	895.0	930.0	985.0	1,030.0
Best Case	859.0	895.0	930.0	985.0	1,030.0
Worst Case	859.0	895.0	930.0	985.0	1,030.0
Best Case	875.0	920.0	980.0	1,080.0	1,150.0
Worst Case	820.0	840.0	855.0	870.0	885.0
International Traffic Volume					
Base Case	83.5	88.0	92.5	100.0	108.0
Best Case	85.8	94.0	102.0	112.0	120.0
Worst Case	79.7	81.5	83.0	85.0	87.0
Domestic Traffic Volume					
Base Case	52.8	55.0	57.5	61.0	63.5
Best Case	54.3	58.0	62.0	66.0	70.0
Worst Case	50.3	51.0	51.5	52.0	52.5
Office/ state property rents Volume growth					
Base Case	5.0%	1.0%	1.0%	1.0%	10.0%
Best Case	8.0%	2.0%	2.0%	2.0%	15.0%
Worst Case	-2.0%	0.0%	0.0%	0.0%	5.0%

Other Revenue Forecast

Other Income						
Base Case	2,000.0	2,100.0	2,200.0	2,300.0	2,400.0	Steady Growth: Cash pile grows --> Interest income grows.
Best Case	2,200.0	2,400.0	2,600.0	2,800.0	3,000.0	High Rates: Interest rates stay higher for longer + Huge cash influx from tourism boom.
Worst Case	1,800.0	1,800.0	1,800.0	1,800.0	1,800.0	Rate Cuts: Central bank cuts rates to 1%, reducing interest income on AOT's deposits.

Cost Forecast

Cost inflation growth						
Base Case	2.0%	2.0%	2.0%	2.0%	2.0%	CPI Anchor: Aligns with Bank of Thailand's long-term inflation target (1-3%). Assumes utility costs normalize after the 2024 spike
Best Case	1.0%	1.0%	1.0%	1.5%	1.5%	Efficiency Gains: AOT's new Solar Rooftop projects cut electricity bills, while strict headcount freezes keep personnel cost growth below CPI.
Worst Case	3.5%	3.5%	3.5%	3.5%	3.5%	Wage Spiral: Impact of government's 400-600 THB minimum wage policy hike and surging global energy prices driving structural opex higher.

Other expenses growth						
Base Case	2.0%	2.0%	2.0%	2.0%	2.0%	Fixed Overhead: General admin & supplies. Assumed to grow strictly with long-term CPI (2%).
Best Case	0.0%	0.0%	0.0%	0.0%	0.0%	Operating Leverage: Strict cost control freezes admin headcount; existing back-office supports volume growth without new spending.
Worst Case	3.5%	3.5%	3.5%	3.5%	3.5%	Cost Creep: Rising compliance costs (ESG/Data Privacy) and higher insurance premiums drive overheads above inflation.

Loss on foreign exchange rate	0.0	0.0	0.0	0.0	0.0	Assume no change
Loss on impairment of assets	0.0	0.0	0.0	0.0	0.0	Assume no change
Loss on derivatives	0.0	0.0	0.0	0.0	0.0	Assume no change

Share of loss from investment in joint ventures						
Base Case	-3.0	-3.0	-3.0	0.0	0.0	Assume it stays a tiny loss for 3 years, then breaks even.
Best Case	0.0	0.0	0.0	5.0	5.0	JVs turn profitable quickly.
Worst Case	-5.0	-5.0	-5.0	-5.0	-5.0	JVs continue to bleed cash slightly.

Investing Activities

Depreciation of new asset (Assumption)	30 Years					Blended Useful Life: Weighted avg of Civil Works (50yr) & Systems (15yr) for new terminals. Consistent with AOT accounting policy.
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CAPEX						
Base Case	5,600.0	17,300.0	19,900.0	10,200.0	10,000.0	DMK and BKK East proceed. BKK South is delayed and only starts "Design & Prep" costs later. No New Airports.
Best Case	5,600.0	17,300.0	18,900.0	7,200.0	0.0	Only the urgent bottlenecks are fixed. The massive 120B+ projects are shelved indefinitely to preserve cash flow.
Worst Case	10,600.0	44,300.0	73,900.0	77,200.0	50,000.0	Government pushes everything. BKK South starts full construction in 2027. New Airports (Andaman/Lanna) start spending in 2028.

Other Investing	0.0	0.0	0.0	0.0	0.0	Assume no change
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Financing Activities

Cash received from issuing shares of subsidiaries	0.0	0.0	0.0	0.0	0.0	Assume no change
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(+) ROU New Leases Added	0.0	0.0	0.0	0.0	0.0	Assume no change
(-) ROU Depreciation Expense	-3160.4	-3160.4	-3160.4	-3160.4	-3160.4	The "Straight Line" Roll-forward

Divident Payment Ratio	60.0%	60.0%	60.0%	60.0%	60.0%	
Base Case	60.0%	60.0%	60.0%	60.0%	60.0%	Status Quo: Aligns with FY24 actual payout (59%) and Ministry of Finance expectations for SOE returns
Best Case	75.0%	75.0%	75.0%	75.0%	75.0%	Cash Return: CAPEX delays (typical for AOT) leave excess liquidity, returned to shareholders via special dividends.
Worst Case	40.0%	40.0%	40.0%	40.0%	40.0%	Liquidity Preservation: Aggressive CAPEX cycle (South Terminal + Runway 4) forces AOT to cut payout closer to policy minimum (25%).

TAX

Tax Rate	20%	20%	20%	20%	20%	Statutory Rate: Standard Thai Corporate Income Tax. No BOI tax holidays applicable for existing airport operations.
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Working Capital

Days in Accounts Receivable	90.0	90.0	90.0	90.0	90.0	Airline Credit: Reflects standard 60-90 day credit terms. Collection risk is low as debts are backed by airline bank guarantees.
% Other Assets	40.0%	40.0%	40.0%	40.0%	40.0%	Accruals: High level of accrued revenue (PSC collected by airlines but not yet remitted) and prepaid insurance premiums.
Days in Accounts Payable	95.0	95.0	95.0	95.0	95.0	Supplier Power: AOT leverages its monopoly status to extend payment terms with outsourcing vendors (security/cleaning).
% Other Liabilities	30.0%	30.0%	30.0%	30.0%	30.0%	Deferred Revenue: Includes advanced rental payments from concessionaires and construction retention money.

Debt and Interest Schedule

Blended loan Interest Rate	3.5%	3.5%	3.5%	3.5%	3.5%	Hybrid Rate: Blends legacy low-cost Yen loans (<1%) with new THB Bond issuances (~3.8%) needed for CAPEX.
Implied lease Interest %	5.3%	5.3%	5.3%	5.3%	5.3%	The incremental borrowing rate applied to the State Property lease liability (Treasury Dept contract).
Lease Liabilities (-) Repayment	-3,024.0	-3,347.0	-3,567.0	-3,790.0	-3,979.5	Actual Cash Rent Paid (Grows 5% / yr)
Lease Liabilities (+) New Leases	0.0	0.0	0.0	0.0	0.0	No New Land: Expansion projects (East/South Terminal) utilize existing airport land; no new major lease agreements required.

Equity

Share Capital	26,853.4	26,853.4	26,853.4	26,853.4	26,853.4	Capital + Premium: Includes Paid-up Capital (14,286 MB) and Share Premium (12,568 MB). Stable with no new issuance planned.
Other Equity	2,265.5	2,265.5	2,265.5	2,265.5	2,265.5	Statutory Reserves: Includes Legal Reserve (10% of capital) and other fixed equity components.
Total Share outstanding	14,286					Stable Count: 14,285.7 Million shares @ 1.00 THB Par Value. No buyback program or dilution in forecast.

Valuation

Discount Year fraction	0.8	1.8	2.8	3.8	4.8	Partial Year: Accounts for the stub period (Dec 2025 to Sep 2026 fiscal year end).
Risk-Free Rate	2.6%					Govt Yield: Based on 10-Year Thai Government Bond yield (current spot rate).
Beta	1.1					Volatility: Slightly higher than market (1.0) due to sensitivity to tourism cycles and political events.
Market Risk Premium	6.9%					Equity Premium: Standard damper for Emerging Market equities (Source: Damodaran/Bloomberg consensus).
Terminal Growth Rate FCFF	3.0%					GDP Link: Caps long-term growth at Thailand's sustainable GDP forecast. Conservative vs. aggressive 4-5% models.
Terminal Growth Rate FCFE	3.0%					
Terminal Growth Rate DDM	3.0%					
Benchmark P/E	SET50 Index	Aena	ASUR			We selected P/E benchmarks (SET50, Aena, ASUR) to value shareholder returns against local opportunity costs and structural 'tourist monopoly' twins.
Benchmark P/E Ratio	15.4	17.3	16.9			
Benchmark EV/EBITDA	M&A Deals	Asian Peers	Global Majors			EV/EBITDA benchmarks (M&A, Asian Peers) were chosen to strip out depreciation distortions and capture the true asset value implied by recent global infrastructure transactions.
Benchmark EV/EBITDA Ratio	21	16.0	12.5			

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